

■ Building a Counter-Trend Model

The counter-trend model I will demonstrate aims to buy dips in a bull market. I'm sure you're wondering why we don't apply a symmetrical approach and short rallies in bear markets as well, and I'll let you in on the secret. Counter-trend models tend to work quite poorly on the short side, even more so than for trend following. You're probably better off just skipping the short side altogether.

There's one more piece of information for you to unpack in that first sentence of the previous paragraph. I said that we're buying dips in a bear market, and that's a significant piece of information. There are two ways of thinking about counter-trend trading, and this tells you which one I'm aiming for.

You could try to go against the main, long-term, dominating trend of the market. That would be the inverse of what we're doing in the trend-following space. That is a very tricky way to go, and carries quite a bit of risk, should the trend keep running. The other type of counter-trend trading approach would be to trade in the direction of this dominant trend, but to enter on pullbacks, betting on a return to that trend. What you usually do is to try to enter about at the point where long-term trend followers stop out of their positions, and then you ride it back up for a short-term gain, or stop out pretty quickly if things don't materialise. That's what we'll do here.

As before, I try to keep the rules clean and simple. As I like to stress, what I'm showing you in this book, in all of my books, are demonstration models to prove a point. You should never trade any rules that anyone gives you, and certainly not any rules anyone sells you. The point here is for you to learn how to construct models, and giving you exact rules to copy and trade would very much defeat that purpose. Study these models, learn from them, and build your own production grade models.

We are only looking to buy dips in bull markets. In my view, the dynamics of bear market rallies tend to be so different from bull market dips that we cannot use the same logic, or at least not the same settings. In order to keep things reasonably simple, we are going to focus on bull market dips.

That means that we need to know if there is a bull market on. We need to define what a bull market is. I will define a bull market here as when the 40-day exponential moving average is above the 80-day exponential moving average. Exponential moving averages are quite popular among technical analysts as they are said to react faster. What they do is to up-weight recent observations compared to older ones.